

and his small group of supporters were not able to. Starting at the end of 2014 and for the first half of 2015, the Ethereum Foundation encouraged battle testing of its network, both in a grassroots bug bounty program and in formal security audits that involved professional third-party software security firms.²² The innovative investor should take note of this battle-testing practice, which we also saw with Zcash, as it is an indicator of how seriously core developers take security in their decentralized architectures.

ETHEREUM AS A PLATFORM FOR DAPPS

Ethereum's network with its underlying blockchain went live on July 30, 2015. While much development energy had gone into creating the Ethereum software, this was the first time that miners could get involved because there was finally a blockchain for them to support. Prior to this launch, Ethereum was quite literally suspended in the ether. Now, Ethereum's decentralization platform was open for business, serving as the hardware and software base for decentralized applications (dApps). These dApps can be thought of as complex smart contracts, and could be created by developers independent of the core Ethereum team, providing leverage to the reach of the technology.

To explain how a dApp works, we'll use an example from the company Etherisc, which created a dApp for flight insurance to a well-known Ethereum conference. This flight